

And I want to take this opportunity to thank you all. You see, I have been extremely lucky. A lot of entrepreneurs are not so lucky. They are only marginally incompetent ... good enough at a variety of tasks that they are hard to shove aside. They have opinions on marketing and management. Even worse, sometimes they have unshakeable convictions and absolute confidence in their own judgment. Those poor guys are practically doomed, in my opinion.

I, on the other hand, owe everything to my own incompetence. When anyone new came into the office, I practically fell over myself to get out of his way. Some will generously say that I delegated authority. But that is not true. I shirked it. You and other partners, associates and employees just picked it up off the ground where I left it.

Mark Ford says that every successful business needs at least three key people: an idea person, a marketer, and a pusher. At the beginning, you have to make do, often doing two or all three roles yourself. But you cannot hope to go very far that way.

Mark believes new businesses progress through stages, each with its own challenges and each requiring something different from its owners. The first stage is one in which it must figure out if it can sell a product at all—and if so, how it can do so in a cost-effective way.

Typically, the business builder in this stage has few resources. He must be very careful not to waste time or money on things that don't matter. Often, a new businessperson will mistake the trappings of business for the essentials of it. He will rent an office. He will print up business cards. He will register with the Better Business Bureau and begin networking at industry events. He will even apply for licenses and permits.

All of that is usually a waste of precious time and resources. What he needs to do is figure out if he has something to sell and if he can sell it at a reasonable cost, leaving enough net income to pay his overhead. Only after he has established that does he have any reason to go further. There's no point in getting a license to operate a drive-in movie theater for blind people, for example.

Of course, you have to do some bureaucratic chores and invest some money in infrastructure before you can test your idea properly. But you need to avoid expensive, time-consuming distractions.